UNIT 3

Tariff and Protection

Tariff is a tax imposed by the government on imported goods when they enter a country. It is one of the most important instruments of trade policy used by governments to regulate international trade. Tariffs increase the price of imported goods which makes them less competitive compared to domestically produced goods.

Protection refers to the policy adopted by a government to protect domestic industries from foreign competition. Protection is achieved by imposing tariffs quotas import restrictions and other trade barriers. The main aim of protection is to encourage the development of domestic industries and reduce dependence on foreign goods.

Tariffs are widely used as a method of protection in international trade. When a tariff is imposed the price of imported goods increases which reduces imports and encourages consumers to purchase domestic products. This helps domestic producers to expand their production and improve their market share.

Objectives of Tariffs and Protection

Protection of domestic industries from foreign competition
Promotion of new and infant industries
Increase in government revenue
Reduction of excessive imports
Improvement of balance of payments
Encouragement of domestic production and employment

Types of Tariffs

Revenue tariff
Revenue tariff is imposed mainly to generate income for the government. The main objective is to collect revenue rather than to protect domestic industries.

Protective tariff
Protective tariff is imposed to protect domestic industries from foreign competition. The tariff raises the price of imported goods and encourages the consumption of domestic products.

Specific tariff
Specific tariff is a fixed amount of tax imposed on each unit of imported goods such as per kilogram per litre or per piece.

Ad valorem tariff
Ad valorem tariff is imposed as a percentage of the value of imported goods. The amount of tax changes according to the price of the product.

Compound tariff
Compound tariff is a combination of specific tariff and ad valorem tariff imposed on imported goods.

Advantages of Tariff and Protection

Protection helps new industries develop and grow
Domestic industries receive support against strong foreign competitors
Employment opportunities increase in domestic industries
Government earns revenue through tariff collection
Domestic production and economic stability improve

Disadvantages of Tariff and Protection

Tariffs increase the price of imported goods for consumers
Protection may reduce competition and efficiency in domestic industries
It may lead to retaliation from other countries
Excessive protection may slow down economic progress

Conclusion

Tariff and protection are important tools of trade policy used by governments to regulate international trade and support domestic industries. While tariffs help protect local producers and generate revenue they may also increase prices and reduce efficiency if used excessively. Therefore governments should apply tariff policies carefully to balance protection and economic growth.

Free Trade versus Protection

Free trade and protection are two important policies related to international trade. They represent different approaches used by governments to regulate trade between countries. Free trade supports unrestricted trade between nations while protection supports government control and restrictions on imports to protect domestic industries.

Free Trade

Free trade refers to a policy where there are no restrictions or barriers on international trade. Under free trade goods and services move freely between countries without tariffs quotas or other trade barriers. The main objective of free trade is to promote international specialization efficient use of resources and economic growth.

Free trade encourages countries to specialize in producing goods in which they have comparative advantage. By specializing and trading countries can increase production efficiency and improve economic welfare. Consumers also benefit because they can buy goods at lower prices and have access to a wide variety of products.

Free trade also promotes international cooperation and economic integration. It encourages competition innovation and technological development.

Advantages of free trade
Efficient allocation of resources
Increase in world production and trade
Lower prices and greater variety of goods for consumers

Encouragement of specialization and innovation
Promotion of international cooperation and economic growth

Disadvantages of free trade
Domestic industries may face strong foreign competition
Infant industries may find it difficult to survive
Dependence on foreign countries for essential goods
Possible loss of employment in some industries

Protection

Protection refers to the policy of protecting domestic industries from foreign competition by imposing trade barriers such as tariffs quotas import restrictions and subsidies. The main objective of protection is to support domestic industries and reduce dependence on foreign goods.

Protection is often used to encourage the growth of new industries which are not yet strong enough to compete with foreign producers. Governments may also adopt protection to maintain national security preserve employment and improve balance of payments.

Advantages of protection
Protection of infant industries
Increase in domestic production and employment
Reduction in dependence on imports
Improvement in balance of payments
Encouragement of national economic development

Disadvantages of protection
Higher prices for consumers
Reduction in competition and efficiency
Possibility of trade conflicts with other countries
Limited variety of goods available in the market

Difference between Free Trade and Protection

Free trade allows goods to move freely between countries while protection restricts imports through tariffs and trade barriers. Free trade encourages competition specialization and efficient use of resources while protection supports domestic industries by shielding them from foreign competition. Free trade generally leads to lower prices and wider variety of goods whereas protection may result in higher prices but supports local industries.

Conclusion

Free trade and protection represent two different approaches to international trade policy. Free trade promotes economic efficiency competition and global integration while protection focuses on safeguarding domestic industries and employment. Most modern economies follow a balanced approach by combining elements of both free trade and protection according to their economic needs and development goals.

Barriers to Trade Tariff and Welfare

Barriers to trade refer to restrictions imposed by governments to control the flow of goods and services between countries. These barriers limit or regulate imports and exports in order to protect domestic industries maintain economic stability and achieve national economic objectives. Trade barriers influence international trade patterns and affect the welfare of producers consumers and the government.

Trade barriers can be broadly classified into tariff barriers and non tariff barriers. Tariff barriers involve taxes on imports while non tariff barriers include quotas import licensing subsidies and other regulatory measures.

Tariff

Tariff is a tax imposed by the government on imported goods. It is one of the most common forms of trade barriers used to regulate international trade. When a tariff is imposed the price of imported goods increases which reduces their demand in the domestic market. As a result domestic producers face less competition from foreign goods.

Tariffs are often used to protect domestic industries encourage local production and generate revenue for the government. Tariffs can also influence the balance of payments by reducing excessive imports.

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Tariff and Welfare

Tariffs have important effects on economic welfare. Welfare refers to the economic well being of individuals and society including consumers producers and the government.

When a tariff is imposed the price of imported goods increases in the domestic market. Higher prices reduce consumer demand for imports. Consumers pay more for goods and therefore their welfare decreases.

Domestic producers benefit from tariffs because they face less competition from foreign producers. Higher prices allow domestic industries to increase production and earn higher profits.

The government also gains from tariffs because it collects revenue from import taxes. This revenue can be used for public expenditure and development activities.

However tariffs also create some economic losses. Resources may be used inefficiently because domestic industries produce goods that could be produced more efficiently in other countries. Consumers lose welfare because of higher prices and limited choices.

Economists often explain tariff effects in terms of consumer surplus producer surplus and government revenue. Consumer surplus decreases due to higher prices while producer surplus increases due to protection. Government revenue increases due to tariff collection. But the overall economy may experience a net welfare loss due to inefficiency.

Advantages of Tariffs

Protection of domestic industries
Increase in government revenue
Reduction of excessive imports
Encouragement of domestic production and employment

Disadvantages of Tariffs

Higher prices for consumers
Reduction in international trade
Possibility of retaliation by other countries
Inefficient use of economic resources

Conclusion

Barriers to trade such as tariffs play an important role in regulating international trade and protecting domestic industries. Tariffs benefit domestic producers and generate government revenue but they also reduce consumer welfare and may lead to economic inefficiency. Therefore governments must use tariff policies carefully to balance protection with overall economic welfare.

Here is a clear **comparison between Free Trade and Protection Trade (Protectionism)** suitable for exams:

Basis	Free Trade	Protection Trade
Meaning	Trade between countries without restrictions like tariffs or quotas	Trade where government imposes restrictions to protect domestic industries
Government role	Minimum government interference	High government interference
Tariffs and quotas	No tariffs or quotas	Tariffs, quotas, and other barriers are imposed
Objective	To promote international trade and competition	To protect domestic industries from foreign competition
Competition	High international competition	Limited foreign competition
Consumer choice	More choices and lower prices	Limited choices and higher prices
Domestic industries	May face strong foreign competition	Protected and supported by government
Economic efficiency	Promotes efficiency and specialization	May reduce efficiency due to less competition
Example	Free Trade Agreements (FTA), open markets	Import tariffs on foreign goods

Advantages of Free Trade:

- Lower prices
- More variety of goods
- Encourages efficiency
- Promotes economic growth

Advantages of Protection Trade:

- Protects local industries
- Creates employment
- Supports new industries
- Reduces foreign dependence

Disadvantages of Free Trade:

- Domestic industries may suffer
- Job losses in some sectors

Disadvantages of Protection Trade:

- Higher prices
- Less competition and innovation

Here is a clear **distinction between Tariff Barriers and Non-Tariff Barriers** suitable for exams:

Basis	Tariff Barriers	Non-Tariff Barriers
Meaning	Tax imposed on imported or exported goods	Restrictions other than taxes used to control imports or exports
Nature	Monetary restriction (in the form of tax)	Non-monetary restriction
Purpose	To increase the price of foreign goods	To limit or control the quantity or quality of imports
Government revenue	Generates revenue for the government	Does not directly generate revenue
Impact on price	Increases the price of imported goods	May increase price or restrict availability
Control method	Through customs duties	Through rules, regulations, and restrictions
Transparency	More transparent and easy to understand	Less transparent and more complex
Example	Import duty, export duty, customs duty	Quotas, import licenses, subsidies, embargo

Examples:

Tariff Barrier Examples:

- Import duty on foreign cars
- Export duty on raw materials

Non-Tariff Barrier Examples:

- Import quota on rice
- Import license requirement
- Quality standards and regulations

Simple definition (for exams):

- **Tariff barriers** are taxes imposed on imports and exports.
- **Non-tariff barriers** are restrictions other than taxes used to control international trade.

Instruments of Free Trade Policy

Definition:
Instruments of free trade policy are the measures adopted by the government to **promote international trade by reducing or removing trade barriers** such as tariffs, quotas, and restrictions.

Major Instruments of Free Trade Policy:

1. Reduction or Removal of Tariffs

- Tariffs are taxes on imports and exports.
- Free trade policy reduces or eliminates these taxes.
- This makes foreign goods cheaper and encourages trade between countries.

Example: Reduction of import duty on electronic goods.

2. Removal of Import Quotas

- Quotas limit the quantity of goods that can be imported.
- Free trade removes these quantity restrictions.
- This allows free flow of goods across countries.

3. Free Trade Agreements (FTAs)

- Agreements between two or more countries to promote free trade.
- Countries agree to reduce or eliminate trade barriers between them.

Example: India–ASEAN Free Trade Agreement.

4. Export Promotion Measures

- Government encourages exports through incentives and support.
- Includes export subsidies, tax benefits, and financial assistance.

Purpose: Increase foreign exchange earnings.

5. Currency Convertibility

- Allows free conversion of domestic currency into foreign currency.
- Makes international trade and payments easier.

Example: Current account convertibility in India.

6. Simplification of Trade Procedures

- Reducing documentation, licensing, and customs formalities.

- Makes importing and exporting easier and faster.

7. Special Economic Zones (SEZs)

- Areas where businesses get tax benefits and fewer regulations.
- Encourages export-oriented industries.

8. Liberalization Policy

- Removing government control and restrictions on trade.
- Encourages private sector participation in international trade.

Conclusion:

Free trade policy instruments help in **promoting international trade, increasing economic growth, improving efficiency, and strengthening global economic relations**.

Political Economy of Trade Policy

Definition:

The **political economy of trade policy** refers to the study of how **political factors, government decisions, and interest groups influence a country's trade policies**, such as free trade or protectionism.

It explains **why governments impose tariffs, quotas, or promote free trade based on political and economic interests.**

Explanation:

Trade policy is not decided only by economic reasons but also by **political pressures from various groups** like domestic industries, workers, consumers, and business organizations.

Governments must balance:

- Economic growth
- Employment
- Domestic industry protection
- Political support

For example, a government may impose tariffs on imported goods to protect local industries and gain political support from domestic producers.

Key Elements of Political Economy of Trade Policy:

1. Role of Government

- Government makes decisions on tariffs, quotas, and trade agreements.

- These decisions depend on national interest and political goals.

2. Interest Groups Influence

- Domestic producers want protection from foreign competition.
- Workers want job security.
- Exporters want free trade to access foreign markets.

3. Political Pressure

- Industries and labor unions influence government through lobbying.
- Governments respond to these pressures to gain votes and political support.

4. Income Distribution Effects

- Trade policy affects income distribution between producers and consumers.
- Some groups benefit, while others may lose.

5. National Interest and Security

- Government may restrict trade to protect strategic industries.
- Example: defense, agriculture, and energy sectors.

Objectives of Trade Policy (Political Perspective):

- Protect domestic industries
- Promote economic growth
- Create employment
- Ensure national security
- Maintain political stability

Example:

India may impose tariffs on foreign agricultural products to protect Indian farmers and maintain political support from the agricultural sector.

Conclusion:

The political economy of trade policy explains how **political forces, interest groups, and government decisions shape international trade policies to balance economic and political objectives.**

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